

**UNITED STATES OF AMERICA
BEFORE THE
FEDERAL ENERGY REGULATORY COMMISSION**

**Interconnection of Large Loads to
the Interstate Transmission System**

)
)
)
)

Docket No. RM26-4-000

**REPLY COMMENTS OF
THE ELECTRIC POWER SUPPLY ASSOCIATION**

In response to the *Notice Inviting Comments*¹ issued by the Federal Energy Regulatory Commission (“FERC” or “Commission”), the Electric Power Supply Association (“EPSA”)² hereby submits reply comments to respond to certain limited issues raised in initial comments submitted on the Secretary of Energy’s (“Secretary”) proposed Advance Notice of Proposed Rulemaking (“ANOPR”) released on October 23, 2025, pursuant to Section 403 of the Department of Energy (“DOE”) Organization Act.

Specifically, EPSA suggests a path forward to address the most immediate need for large load integration. Additionally, we respond to comments seeking to exploit our national “speed to power” goals in order to disparage if not dismantle more than twenty years of successful competitive market operations and investments. Finally, we offer legal considerations to address comments which reference FPA Section 212(h) in order

¹ Interconnection of Large Loads to the Interstate Transmission System, *Notice Inviting Comments*, Docket No. RM26-4-000 (October 27, 2025).

² EPSA is the national trade association representing competitive power suppliers in the U.S. EPSA members provide reliable and competitively priced electricity from environmentally responsible facilities using a diverse mix of fuels and technologies. EPSA seeks to bring the benefits of competition to all power customers. This pleading represents the position of EPSA as an organization but not necessarily the views of any particular member with respect to any issue. EPSA filed initial comments in this proceeding on November 21, 2025 (“EPSA Comments”).

to cloud the Commission's jurisdiction over interconnection to the transmission system and allow retail utilities to control the process via step down facilities.

I. COMMENTS

A. Pending Proceedings to Address Co-Located Configurations Should be Addressed Promptly

With more than two hundred interested parties or entities submitting comments on the proposed ANOPR, there is a vast range of responses regarding the time needed to develop a comprehensive, durable final rule and implement any new procedures pursuant to that rule. In our initial comments, EPSA provided additional support for the need for reform and the Commission's jurisdictional authority to direct such reforms. We also highlighted that development of a new final rule or guidance on large load interconnections should not delay or stymie proposals or commercial arrangements currently underway. This point was made in the ANOPR itself.³

Thus, EPSA urges the Commission to move forward with direction and guidance for co-located arrangements based on the extensive record set out in the PJM Show Cause proceeding⁴ on these issues. As a matter with an established robust record pending before the Commission for over nine months in the Show Cause proceeding, and longer in individual FPA Section 205 proceedings,⁵ a Section 206 complaint

³ ANOPR at P 32.

⁴ PJM Interconnection, L.L.C., *Notice of Institution of Section 206 Proceeding and Refund Effective Dates*, Docket Nos. EL25-49-000, AD24-11-000, EL25-20-000 (consolidated), (issued February 21, 2025) ("Show Cause Proceeding").

⁵ See six Exelon Companies' utility FPA Section 205 Tariff Amendment Filings to revise PJM Tariff Attachment H-1 to unilaterally designate any transmission service to co-located load as Network Integration Transmission Service ("NITS") unless the load is designated to receive Point-to-Point service (rejected by the Commission in an order issued February 20, 2025). Tariff revision filings submitted August 28, 2024, as follows: Atlantic City Electric Company, Docket No. ER24-2888-000; Baltimore Gas & Electric Company, Docket No. ER24-2889-000; Commonwealth Edison Company, Docket No. ER24-2890-000; Delmarva Power & Light Company, Docket No. ER24-2891-000; PECO Energy Company,

proceeding,⁶ and an administrative docket,⁷ issuing guidance for co-located load arrangements should be task one in the near term for the Commission. This action does not need to run concurrently with any next steps in this rulemaking proceeding, though action in the Show Cause proceeding may inform aspects of any proposed rule or policy addressing the broader issue of interconnecting large loads to the grid.

As demonstrated by the wide-ranging comments submitted in this proceeding on November 21, as well as those submitted in several related open proceedings before the Commission, some of these issues are complex, and touch upon fundamental FERC policies and principles. Thus, it is reasonable and appropriate for the Commission to take a phased approach, and first issue guidance for co-located large loads that need such direction urgently and have an extensive existing record on which the Commission can base its determinations.

Further, EPSA continues to urge the Commission to ensure that consideration and development of the next step in the instant rulemaking proceeding does not delay, hamper, or interfere with ongoing commercial transactions and arrangements. Any such delays or complications would run counter to the very purpose of the Secretary's proposal and directives.

Docket No. ER24-2893-000; and Potomac Electric Power Company, Docket No. ER24-2894-000 (not consolidated).

⁶ *Complaint Requesting Fast Track Processing of Constellation Energy Generation, LLC*, Constellation Energy Generation LLC v, PJM Interconnection, L.L.C., Docket No. EL25-20-000 (November 22, 2024).

⁷ *Large Loads Co-Located at Generating Facilities, Commissioner-Led Technical Conference*, Docket No. AD24-11 (November 1, 2024).

B. Attempts to Pivot Large Load Interconnection Concerns to Support Utility Self-Build of Generation Must be Dismissed

Regrettably, this proceeding is being utilized as an opportunity to press unwarranted attacks on our nation's competitive power markets in an attempt to hijack this critical emergent concern to dismantle competitive mechanisms and allow monopolistic behavior to flourish further. Ignoring years of market price signals that justified generation retirements, transmission owners – particularly in PJM – now argue this crisis can be resolved by state-led processes that would allow these transmission owners to build and rate base new generation.⁸

While it is clear that new generation of all stripes is needed to meet growing demand from large loads as well as other power customers, this does not call for the degradation of the organized ISO/RTO markets whose purpose was outlined more than 25 years ago in Order No. 2000, implementing wholesale competition to lead to least cost reliability outcomes.⁹ Fundamentally, monopoly ownership stifles competition, increases consumer costs, distorts markets, and unfairly shifts financial risk from investors to ratepayers. Allowing transmission owners to return to the business of building and operating rate-based generation after Order No. 2000 was established to resolve massive cost overruns and poor operating performance under the previous regime should not be part of any solution. Data from PJM drives this point home as, despite recent increases in capacity market prices, entities under the Fixed Resource

⁸ *Comments of Exelon Corporation*, pp. 2-3, 12-13 (November 21, 2025); *Comments of the PSEG Companies*, pp. 10-11 (November 21, 2025); *Initial Comments of the PPL Companies re Advanced Notice of Proposed Rulemaking on the Interconnection of Large Loads to the Interstate Transmission System*, p. 15 (November 21, 2025).

⁹ *Regional Transmission Organizations*, Order No. 2000, 89 FERC ¶ 61,285 (1999), order on reh'g, Order No 2000-A, 90 FERC ¶ 61,201 (2000) ("Order No. 2000").

Requirement charge even higher prices.¹⁰ As it is, without having taken this “additional step” of developing new generation, a major concern underscored in this proceeding is the ability of transmission owners to control the grid infrastructure, thereby creating interconnection delays or technical barriers that disadvantage the development of independent generation and large load configurations.

Moreover, the uncertainty regarding how much load growth we will actually see in the face of ever-changing load forecasts and expectations *underscores* the important role played by competitive markets and mechanisms in protecting customers and ensuring open access. In this uncertain environment, competitive markets place the risk of investment to meet load growth on shareholders rather than ratepayers. This approach avoids concerns that we are seeing in some regions. For example, in a regulated monopoly context the Georgia Public Service Commission staff has noted that Georgia Power’s plan to build \$20 billion in new generation – despite uncertainty in data center build out – could lead to excessive additional costs that need not be incurred if data center load does not materialize.¹¹ Another example of unnecessary costs borne by customers comes from PJM where customers bear the stranded costs of planned utility investment in transmission facilities (the Mid-Atlantic Power Pathway (MAPP))¹²

¹⁰ The rate for Appalachian Power Company, which is the unconstrained RTO, effective June 1, 2025, for the 2025/2026 Delivery Year is \$450/MW-day. American Electric Power Service Corporation, Annual Update, Docket No. ER13-539-000 (May 27, 2025). Available at <https://www.pjm.com/-/media/DotCom/markets-ops/settlements/frr-lse-capacity-rates/2025/schedule-8-1-appendix-2.pdf>. For comparison purposes, RPM BRA prices in RTO for the 2025/2026 Delivery Year cleared at \$269.92/MW-day.

¹¹ Maggie Shober, *Lame-Duck Georgia Commission Could Lock Customers Into High Cost Gas Plants Until 2075* (December 2, 2025). Available at <https://cleanenergy.org/news/lame-duck-georgia-commission-could-lock-customers-into-high-cost-gas-plants-until-2075/>.

See also Direct Testimony and Exhibits of Tom Newsome, PE, CFA; Philip Hayet, Leah Wellborn on behalf of Georgia Public Service Commission Public Interest Advocacy Staff, Docket Nos. 56298 and 56310 (November 12, 2025).

¹² MAPP accrued \$80.5 million in abandonment costs, *PJM Interconnection, L.L.C.*, 146 FERC ¶ 61,147 (2014).

Project and the Potomac-Appalachian Transmission Highline (PATH) Project¹³) that proved to be unnecessary based on overstated load forecasts. Customers bear rate-based investment, even if those costs are shown to be unwarranted or unneeded. In PJM this is not – and should not – be the case as generation resource owners bear that cost and risk, by design.

Rather, there should be a suite of reforms or set of options offered that utilizes competitive market constructs to enable the swift interconnection of large loads in those markets. American Electric Power Service Company (“AEP”), for instance, is a transmission owner situated within PJM which proposes a “connect and manage” approach (accompanied by additional reforms) because it adds transparency to existing competitive energy mechanisms.¹⁴ While the merits of the “connect and manage” proposal need to be assessed (and there are additional AEP recommendations that are not plausible), offering a concept that establishes a phased approach to interconnecting large load projects as soon as practical within a competitive market is noteworthy. A reliance on innovative *market-based* mechanisms should be the foundation of any next step in this rulemaking proceeding, while plaintive calls to reregulate should be dismissed for what they are – self-serving mis-directions which will not help us achieve our national goals.

¹³ Though not constructed, the PATH project created stranded costs of approximately \$250 million, *Potomac-Appalachian Transmission Highline, LLC*, 185 FERC ¶ 61,198, Christie Concurrence at PP 2-3 (2023).

¹⁴ *Comments of the American Electric Power Service Corporation*, pp. 7-10 (November 21, 2025).

C. Concerns Raised Regarding FPA Section 212(h) are Not Germane to the ANOPR's Goals

A small number of commenters raise concerns that FPA Section 212(h) limits the Commission's authority over transmission in states that have not required unbundling of retail transmission.¹⁵ That statutory language addresses retail wheeling and includes the following language: "Nothing in this subsection shall affect any authority of any State or local government under State law concerning the transmission of electric energy directly to an ultimate consumer."¹⁶ Commenters extrapolate this language to present a limitation to the Commission's authority over large load interconnection to the transmission system.

These arguments incorrectly conflate the wheeling/delivery and interconnection components of transmission service. As discussed in the EPSA initial comments, FERC has found interconnection service to be a transmission service and has recognized that it is separate and distinct from wheeling/delivery. In Order No. 2003, for instance, the Commission made clear that "an Interconnection Customer need not enter into an agreement for the delivery component of transmission service to interconnect with a Transmission Providers' Transmission System," and further that "Interconnection Service or an interconnection by itself does not confer any delivery rights from the Generating facility to any points of delivery."¹⁷

¹⁵ *Comments of the Edison Electric Institute*, pp. 27-28 (November 21, 2025); *Comments of the National Rural Electric Cooperative Association*, pp. 13-14 (November 21, 2025); *Initial Comments of the National Association of Regulatory Utility Commissioners*, p. 4 (November 21, 2025); *Comments for Consumer Protection by Office of the Ohio Consumers' Counsel*, p. 8 (November 21, 2025).

¹⁶ 16 U.S.C. § 824k (Orders requiring interconnection or wheeling).

¹⁷ *Standardization of Generator Interconnection Agreements and Procedures*, Order No. 2003, FERC ¶ 31,146, at P 23 (2003).

While FPA Section 212 does impact orders requiring interconnection or wheeling, the Commission’s authority to require those types of interconnections arises under separate statutory provisions – FPA Sections 210 and 211. Section 210 relates to FERC’s “[i]nterconnection authority,” authorizing the Commission to order the “physical connection” of an applicant’s facilities with those of an “electric utility.” Section 211 relates to FERC’s “[w]heeling authority,” authorizing the Commission to order a “transmitting utility” to provide transmission delivery service to an applicant. The Commission has consistently made clear that the two are separate, and that restrictions on its powers to order wheeling do not apply where an applicant has only sought interconnection service.¹⁸

The arguments raising section 212(h) concerns attempt to establish a retail “piece” of the connection which then grants transmission owners a blanket lever for control over the interconnection – a scenario which, based on the ANOPR’s reasoning and the additional legal support included in EPSA’s initial comments, runs contrary to the statutory intent and the goal of the ANOPR itself.

This reading also glosses over distinctions that may exist in various large load and generation configurations. There are existing scenarios, for instance, in which the large load customer owns the 230 kV lines that connect a generator to a data center. This could bode for voltage specificity in a proposed rule but certainly demonstrates that

¹⁸ See, e.g., *East Ky. Power Coop., Inc.*, 115 FERC ¶ 61,347 at P 12 (2025) (“[O]ur decision directing the proposed interconnection is based solely and appropriately on section 210; we are not acting under section 211. Therefore, TVA’s arguments related to section 212(j) of the FPA, which expressly applies only to an “order issued under section 211,” do not apply in this case.” (footnote omitted)).

See also *RGP Bowman Solar, LLC v. Georgia Power Co.*, 193 FERC ¶ 61,012 at P 47 (2025) (rejecting argument that utility was “wheeling energy ... such that the QF [interconnection agreement] is subject to the Commission’s Part II jurisdiction”).

the reading applying section 212(h) to all large load interconnections makes no sense and establishes a hook for transmission owners to impact (or delay) the transmission system interconnection. This hook is also inappropriately established by comments suggesting that any hybrid load interconnection must include a delivery meter – thereby transmogrifying *every* connection into a state-jurisdictional arrangement.¹⁹

II. CONCLUSION

EPSA respectfully requests that the Commission move forward expeditiously with proposed reforms and consider the suggestions herein to assist in the Commission’s development of durable, reasonable, and transparent interconnection procedures that support the speed to power needs facing our country.

Respectfully submitted,

N. E. Bagot

Nancy Bagot, Senior Vice President
Electric Power Supply Association
1401 New York Avenue, NW, Suite 950
Washington, DC 20005
(202) 628-8200
NancyB@epsa.org

Dated: December 5, 2025

¹⁹ *Comments of Duke Energy Corporation*, p. 18 (November 21, 2025).